

ECONOMICS 114: TUTORIAL 2 With Memo

(Presented in the week of 9 March 2026)

NOTE: Students are expected to work out the tutorial questions as thoroughly as possible before the tutorial class and to show their answers to the tutor during the tutorial

Coverage: CORE Unit 2

Question 1

The economic cost of an action is the value of the best alternative you give up when making that choice. Is this statement True or False?

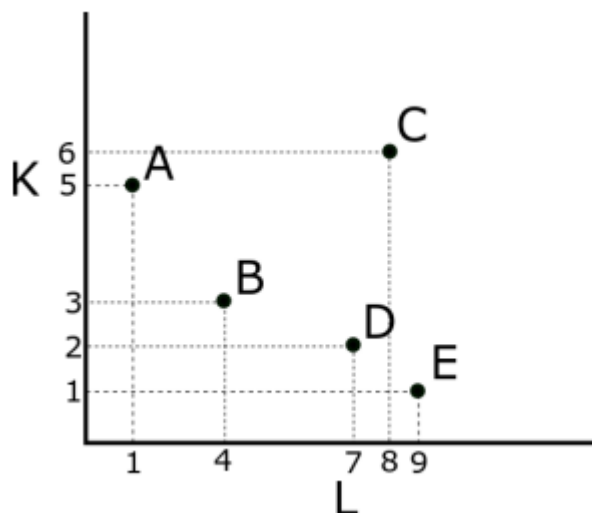
Question 2

The Malthusian model's production function has the following properties. Choose the correct one.

- a. A diminishing average product of labour
- b. A diminishing total product of labour
- c. A convex shape
- d. Both b and c are correct

Question 3

Consider the graph below, which shows five different technologies (A, B, C, D, and E) for producing 1 000 000 bricks per year in a factory, using different amounts of capital (K) and labour (L). [We assume that the factory size and the total output remains the same throughout this exercise: *ceteris paribus*]



3.1. Which technologies are technically dominated by technology C? Choose the correct option and explain your answer:

- a. B
- b. A, B and D
- c. A, B, D and E
- d. None of the above

3.2. Assume the price of a unit of capital is R300 and the price of a unit of labour (the wage rate) is R60. Calculate the cost of using technology A, B, D and E and determine which one is the cheapest.

3.3. The price of labour now increases to R150. Determine the cheapest technology (A, B or D or E) under this new price.

3.4. How did the change in the price of labour affect the relative price of technology?

Question 4

SCENARIO

Sipho is deciding how to spend his Saturday afternoon. He has two options:

Option 1 — Attend a cricket match: The ticket costs R80. Sipho values the experience of watching the match at R200.

Option 2 — Work a shift at a restaurant: He would earn R160 in wages. However, the personal trouble and inconvenience of working is valued at R50.

A beer at the stadium costs R60 and a food platter costs R120.

- (a) Calculate the net benefit of attending the cricket match.
 - (b) Calculate the net benefit of working the restaurant shift.
 - (c) Calculate the economic cost of attending the cricket match (including opportunity cost).
 - (d) Calculate Sipho's economic rent from attending the cricket match. What does this tell us about his decision?
 - (e) If the price of a beer increases from R60 to R90, but the food platter stays at R120, what is the new relative price of a beer in terms of food platters? Has a beer become relatively more or less **expensive**? **Explain**
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